

05 Providers of benefits

7 primary questions | Oldest to newest

2026 objectives: 1.2.1-1.2.3

5 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P2 April 2007 Q7	37 marks
CA1-P2 September 2008 Q6	25 marks
CA1-P2 April 2016 Q5	25 marks
CA1-P2 September 2018 Q4	15 marks
CP1-P2 September 2022 Q1	60 marks
CP1-P2 April 2024 Q1	50 marks
CP1-P2 April 2025 Q2	53 marks

CA1-P2 | April 2007 | Q7

Current topic | 37 marks total | Original PDF p4

Related: Ch 9, Ch 20, Ch 4.

- 7** A major professional sports team is based in a stadium complex near the centre of a large provincial city. The majority of the shares in the club are under the control of one family. The shares are not quoted. An investor has been offered the chance to buy a significant block of shares.

- (i) (a) Suggest reasons why the shares may have been made available.
- (b) Give reasons why the investor may wish to invest.
- (c) Outline specific features of the club's balance sheet that the investor should consider before investing. [12]

The club currently does not provide pension benefits for any of its employees, but it is considering introducing them.

- (ii) Describe the two main types of pension benefit schemes that could be provided. [3]
- (iii) Discuss the appropriateness of each type of scheme in (ii) for the club and the different groups of people it employs. [7]

The club is reviewing its group arrangements for life assurance, long term sickness insurance, and accident insurance.

- (iv) State the general features of these markets. [3]
- (v) Discuss how the mortality and morbidity experience of the club's employees may compare to that under other group arrangements. [6]

The club has recently signed a star player from overseas, who has asked for investment advice.

- (vi) Outline the major points that would be made and the information required to carry out an appropriate assessment. [6]
- [Total 37]

CA1-P2 | September 2008 | Q6

Current topic | 25 marks total | Original PDF p3

Related: Ch 4.

6 A government is reviewing its system of state retirement benefits.

- (i) List the roles that the government can play in retirement provision. [2]

The country currently has no formal state pension. Instead individuals over age 60 are eligible for means-tested benefits at more generous rates than for those under age 60. The government now proposes to abolish the more generous rates and replace them with a system of compulsory retirement savings by establishing a range of government-approved defined contribution pension plans, with a minimum retirement age of 60. Each individual will be required to contribute 5% of their employment income into one of these plans, and their employer will also be required to make a matching 5% contribution, with self-employed persons being required to contribute 10% of their income.

- (ii) Discuss the likely impact of these reforms on the overall amount that individuals under age 60 save for their retirement. [4]

- (iii) Comment on whether or not the new system will result in all individuals receiving an adequate income in retirement. [7]

Opponents of the government have raised the objection that it is not appropriate to require all individuals to lock their savings away until they retire.

- (iv) Outline other events for which individuals might need to have long-term savings. [2]

- (v) Suggest ways in which the government's proposals could be adapted to meet this objection. [2]

The government decides instead to replace the current arrangements with a new state pension scheme that will pay an income of 30% of national average earnings to all individuals who are over age 65 and have lived and worked in the country for at least 20 years. It is intended that a fund will be established in order to finance this scheme.

- (vi) Outline possible methods for defining the level of the target fund. [4]

- (vii) Comment on how the change in the state retirement system could affect the government's expenditure in the short term. [4]

[Total 25]

CA1-P2 | April 2016 | Q5

Current topic | 25 marks total | Original PDF p3

Related: Ch 22, Ch 26.

- 5** A government provides a retirement benefit to its citizens in the form of a basic state pension. This pension is the same for everyone but it is relatively low in comparison with the average cost of living.

- (i) Outline the problems individuals may face if they were to rely on this basic state pension as their main source of income in retirement. [3]

The government is proposing to introduce a second element to state pension provision. Individuals and the government will both pay contributions into a fund which will be used at retirement to provide a pension in addition to the basic state pension. All individuals will be required to participate. There is no tradition of employers providing pensions arrangements for their employees in this country.

- (ii) Explain why the government might adopt this policy. [3]

The government is considering the following approach to determine the secondary pension. The fund will be held and managed by the government.

Option A – The pension will be based on a proportion of annual salary earned over the period to retirement. There will be a maximum limit to the amount of salary that will qualify. The salary above this limit will be ignored when determining benefits and contributions.

- (iii) Discuss the merits of Option A in terms of meeting the government's objectives. [8]

The government decides instead to implement Option B. It also decides to outsource the administration and fund management.

Option B – A pension will be purchased with the individual's fund, the accumulated value of contributions made by and on behalf of the individual.

- (iv) Set out possible ways the outsourced services could be charged for. [3]

- (v) Discuss the risks the administrators and fund managers may face. [8]

[Total 25]

CA1-P2 | September 2018 | Q4

Current topic | 15 marks total | Original PDF p3

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 30.

4 The Government in a developing country is looking at measures to control the cost of providing a universal state pension. The main features of the universal state pension are:

- An income payable to all citizens for the remainder of their lives from when they reach age 65;
- The income is initially set to be equal to 50% of the average annual wage in the country;
- The income will increase in line with price inflation each year;
- Individuals must have lived in the country for at least 10 years before becoming eligible; and
- Citizens are not required to pay in contributions.

(i) Suggest reasons why the Government would want to control its state pension costs. [4]

The Government's proposal to control costs is to introduce one of the following options:

- A – Individuals must contribute for at least 5 years to be entitled to the universal state pension.
- B – Increase the age the pension becomes payable to age 66.
- C – Pension no longer increases once in payment (but past increases are guaranteed).

(ii) Discuss the advantages and disadvantages of each of the proposals. [6]

After consultation, the Government decides to implement option B.

(iii) (a) Discuss the possible options that the Government has to implement option B.

(b) Outline the practical issues that it would have to consider in implementing this change. [5]

[Total 15]

CP1-P2 | September 2022 | Q1

Current topic | 60 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 3, Ch 18, Ch 8, Ch 26, Ch 30, Ch 36.

- 1** Five years ago, the government of a developing country (Country M) allowed the first insurance company (Company N) in its country to begin operating. Company N is a proprietary insurance company based in Country M and has not employed any Actuaries since it was set up.

The government of Country M also made it compulsory for all employers in the country to provide some form of pension provision for their employees.

The government of Country M has set the following objectives for the next 5 years, which are to:

- increase competition for insurance products in Country M.
- increase pension provision awareness for citizens of Country M.
- reduce climate change in Country M.
- improve the care provision for older citizens in Country M.

In order to meet these objectives, the government of Country M is considering implementing the following proposals:

Proposal A

To increase competition in the life insurance industry in Country M, the government of Country M is considering initially allowing one further insurance company who would operate alongside Company N with the following options being considered:

- Option X – Launch a state-backed life insurance company.
- Option Y – Authorise another domestic private company.
- Option Z – Invite existing overseas life insurance companies to apply to set up a subsidiary life insurance company in Country M. Several companies are expected to apply.

Proposal B

To improve awareness of pension provisions, the government of Country M will set up a website that will allow citizens of Country M to gather data about all of their pension savings, both from the state and their employers, and enable them to project their total expected pension at any given retirement date.

Proposal C

As part of its efforts to reduce climate change, the government of Country M will issue a fixed interest bond. The money raised by the government from the bond issue will be used for projects designed to reduce future carbon emissions by vehicles and households.

Proposal D

To improve the health care provision in Country M, the government of Country M will require all citizens of the country to purchase compulsory health care insurance with one of the insurance companies.

CP1-P2 | September 2022 | Q1 - continued

Current topic | 60 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 3, Ch 18, Ch 8, Ch 26, Ch 30, Ch 36.

The government of Country M will also impose a new stricter solvency regime. The new solvency regime will require insurance companies to hold additional capital sufficient to prevent insolvency in all but the most adverse 0.3% of scenarios. This is higher than the standard used in many other countries, where insurance companies will commonly be required to hold additional capital sufficient to prevent insolvency in all but the most adverse 0.5% of scenarios.

- (i) List the main difficulties that Company N may have faced in the first 5 years, resulting from a lack of actuarial knowledge. [5]
- (ii) Suggest possible reasons why the government is looking to expand the domestic life insurance industry in Country M. [5]
- (iii) Discuss the factors the government is likely to consider in deciding which of options X–Z to adopt. [6]
- (iv) Suggest possible ways that a company – applying under proposal A, option Z – could seek to ensure that they are the life insurance company selected by the government. [5]
- (v) Explain the reasons why the government would want to set up the website for proposal B. [6]
- (vi) Discuss the issues involved in gathering and storing data about pension savings on a website, both from the viewpoints of the government and its citizens. [6]
- (vii) Outline how the insurance companies in Country M could assist in improving pension provisions for the government. [5]
- (viii) Outline the types of institutional investor that may be interested in the government bond for proposal C. [3]
- (ix) Discuss reasons why an institutional investor would want to purchase this government bond. [5]
- (x) Outline the types of cover that the insurance company will need to provide for the health care insurance. [3]
- (xi) Discuss the risks of a health care insurance product for Company N. [3]
- (xii) Describe how the insurance company could mitigate the risks covered under part (xi). [3]
- (xiii) Discuss the likely effectiveness of imposing a higher solvency standard for insurance companies. [5]

[Total 60]

CP1-P2 | April 2024 | Q1

Current topic | 50 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 1, Ch 2, Ch 4, Ch 26.

- 1** In a developed country there is a difference in pay between men and women known as the gender pay gap. The government is aware of the gender pay gap and has been taking action to address it, such as introducing regulation to enforce greater transparency in relation to employers' promotion, pay and reward processes, including a specific reporting requirement on gender pay gaps.

The country also has a gender pensions gap (the difference between the pensions of men and women). This is significantly greater than the gender pay gap. To date, the government has not done anything to address the gender pension gap.

The government has now decided to take action to reduce the gender pension gap. The government is proposing to reduce the income tax rate for women by 5% for the next 5 years. The tax rate for men would remain unchanged. For example, if the rate of income tax was 25% then women would pay 20% and men would still pay 25%.

An actuary has recently started working for a new employer. The actuary has been asked to investigate the gender pension gap for the employer's company and to write a report for the employer.

- (i) Describe the factors the actuary would need to consider before agreeing to carry out this work. [3]
- (ii) Outline the information that the actuary would need from the client before beginning the work. [5]
- (iii) Discuss how the gender pension gap could be measured. [4]
- (iv) Suggest possible reasons why the gender pension gap is greater than the gender pay gap. [6]
- (v) Discuss how effective the government's income tax proposal would be in reducing the gender pension gap. [4]
- (vi) Suggest other possible actions that the government could take to reduce the gender pension gap. [5]
- (vii) Comment on how other stakeholders may be affected by any reduction in the gender pension gap. [5]
- (viii) Describe the risks an individual with a lump sum at retirement may be exposed to. [8]
- (ix) Suggest the types of products that financial providers could offer individuals in respect of their lump sums on their retirement. [4]
- (x) Discuss how your suggestions in part (ix) may impact the risks identified in part (viii). [6]

[Total 50]

CP1-P2 | April 2025 | Q2

Current topic | 53 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 4, Ch 2, Ch 22.

- 2** A developed country has a rapidly ageing population. The state pension dependency ratio in the country is defined as the number of citizens older than the State Pension Age (SPA) divided by the number of citizens aged between 16 and the SPA.

Over the next 30 years, this ratio is expected to increase from 0.30 to 0.40.

The cost of providing social security benefits, including the state pension, to citizens in the country is projected to increase significantly over this period.

Currently the country provides, to all citizens aged over the SPA, a universal state pension equal to one third of median average earnings, healthcare and a fixed household heating benefit. Citizens may also have income from other sources such as company pension benefits, private pensions and income from savings and investments. Citizens over the SPA with the lowest overall income may qualify for additional social security benefits.

The state pension currently increases each year by the higher of:

- the annual increase in average earnings
- the annual increase in price inflation
- 3%.

All employed citizens in the country are required to be automatically enrolled into their employer's retirement benefit scheme. This could be either a defined benefit or defined contribution retirement benefit scheme. Currently, individuals are permitted to opt out of their employer retirement benefit scheme and they are not required to make any other retirement provision.

The government of the country is concerned about the following:

- Intergenerational fairness between citizens above and below the SPA
- Individuals with inadequate retirement savings increasing the burden on the state to provide additional social security benefits
- Individuals over the SPA exhausting their retirement savings during their lifetime
- Individuals over the SPA who own their own home having most of their assets in property making them 'asset rich but cash poor'
- Recent increases in the marginal tax rates paid by the highest earners has led to a reduction in hours worked, and an increased rate of early retirement and higher emigration.

The government has made an announcement that it is committed to intergenerational fairness to ensure that the needs of citizens of each generation are met without compromising each other.

- (i) Propose, with reasons, insurance products that may be suitable for a pensioner aged over the SPA. [4]
- (ii) Discuss why an employed individual with private healthcare insurance may decide to stop renewing their policy after they retire. [7]
- (iii) Outline issues that could arise with a government removing universal state social security benefit from citizens of all ages. [7]

CP1-P2 | April 2025 | Q2 - continued

Current topic | 53 marks total | Original PDF p4

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 4, Ch 2, Ch 22.

The government is proposing to impose a minimum compulsory rate of retirement savings for employed and self-employed individuals aged below the SPA, expressed as a percentage of income.

- (iv) Explain how the government's proposal could affect the cost of social security benefits in the future for citizens over the SPA. [6]
- (v) Discuss the potential impact on intergenerational fairness if the government significantly increased inheritance taxes. [7]

The government has made a second proposal to alter the current universal state pension by:

- increasing the SPA by 3 years over the next 5 years.
- reducing the minimum rate of increase immediately from 3% down to 2%.
- removing the link to the increase in average earnings.

- (vi) Discuss the potential impact of this second proposal on:

- the country's finances.
- the government.
- citizens.

[8]

In the country, significant taxes are levied each time a citizen purchases a residential property. The government is proposing to refund this tax to citizens aged over the SPA who sell their existing residential property and replace it with another that costs less than 50% of the property sold.

- (vii) Assess the effectiveness of the government in helping to address the government's concerns about:
 - (a) intergenerational fairness between citizens above and below the SPA.
 - (b) individuals with inadequate retirement savings increasing the burden on the state to provide additional social security benefits.
 - (c) individuals over the SPA exhausting their retirement savings during their lifetime.
 - (d) individuals over the SPA who own their own home having most of their property making them 'asset rich but cash poor'.

[8]

- (viii) Suggest, with reasons, potential changes to the employer's retirement pension scheme to improve the intergenerational fairness, including making use of insurance and benefit scheme products. [6]

[Total 53]